

Meta Platforms, Inc.

META NASDAQ

Hold \$589.85 ▼ 0.86% 12M Price Target \$640.00 52-Week Range \$520.26 – \$790.80

Market Cap \$1.50T

META: Addiction Trial Kicks Off, Stock Stuck Mid-Range

WHAT HAPPENED

- The big one: the multi-state social media addiction trial starts TOMORROW (Tuesday). This is why the stock is soft — down 0.86% and sitting at just 26% of its 52-week range. States are alleging Facebook and Instagram deliberately hooked kids, and this trial has been building for years. Market is nervous but not panicking, which tells me a settlement or manageable outcome is already partly priced in.
- Simply Wall St. flagged Meta's "off-balance-sheet AI financing" — meaning Meta is funding massive AI infrastructure (data centers, chips) through structures that don't show up as debt on the books. It's a growing concern because it obscures how much they're actually spending on the AI arms race.

WHY IT MATTERS

Here's what's really going on: the stock is stuck because two overhangs are colliding. The addiction trial creates binary headline risk for weeks, and the off-balance-sheet AI spending story is making analysts question whether the ~\$70B+ in capex is being fully disclosed. Meanwhile, insiders (COO Olivan) are selling in a cluster and the put/call ratio at 0.33 looks bullish on the surface — but dig in, and there's unusual put buying at \$700 and \$730 strikes, which means someone with size is hedging against a summer rally fizzling out. Bottom line: this is a "wait for clarity" setup, not a "back up the truck" moment, even though the underlying ad business is firing on all cylinders.

POLICY & POLITICAL WATCH

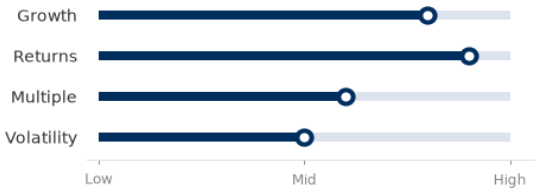
The real policy watch is KOSA (Kids Online Safety Act) — it's been ping-ponging through Congress and this trial will absolutely be used as ammunition by senators pushing to pass it. If KOSA passes, Meta faces a legal "duty of care" for minor users, which means more content moderation costs and potential product changes to Instagram. Separately, the FTC's antitrust case against Meta (trying to force Instagram/WhatsApp divestitures) is still grinding on — a Trump-appointed FTC has been surprisingly aggressive on Big Tech, so don't assume the political environment is friendly just because Republicans are in charge. Tailwind: proposed AI infrastructure tax credits in the reconciliation bill would directly subsidize Meta's data center buildout.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$589.85
12M Price Target	\$640.00
Upside / (Downside)	+8.5%
Market Cap	\$1.50T
FY2026E Revenue	\$202M
FY2027E Revenue	\$230M
FY2026E EPS	\$27.50
FY2027E EPS	\$32.00
Fwd P/E	21.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$630.00	\$595.00	\$545.00
6 Months	\$720.00	\$640.00	\$520.00
1 Year	\$800.00	\$680.00	\$500.00
2 Years	\$950.00	\$780.00	\$480.00
5 Years	\$1400.00	\$1000.00	\$550.00
10 Years	\$2200.00	\$1500.00	\$600.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+7.67% in 5 days) is on fire — the Iran ceasefire expiring today is spiking oil risk premiums, and traders are positioning for supply disruption. Utilities also strong on AI power demand thesis.

COOLING OFF: Communication Services (Meta's sector) is only up 1.59% over 5 days — lagging the market as regulatory fears and AI capex worries weigh on the mega-cap platforms.

ROTATION WATCH: Money is rotating OUT of high-multiple tech and INTO energy/defensives as geopolitical risk rises with the Iran ceasefire expiration. That's a short-term headwind for Meta even though the fundamentals are fine.

RELATED PLAY: If you like Meta's AI thesis but want less legal risk, the picks-and-shovels plays are the winners — power/utility names supplying data centers (VST, CEG) and the chip supply chain. Groq's \$3.5B valuation this morning tells you private AI infrastructure money is still flowing hard.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Winning on cleaner AI narrative and less regulatory headline risk than Meta right now — Gemini traction is finally showing up in cloud numbers.
- NFLX (Netflix): No addiction lawsuits, no metaverse losses, pure ad-tier growth story — the "boring" Big Tech name outperforming on lack of drama.

META CONTEXT: Meta is LAGGING its Big Tech peers right now, and it's almost entirely legal/regulatory overhang, not fundamentals. That's actually setting up a decent contrarian opportunity IF the trial resolves reasonably — the fundamental gap will close quickly.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the business a lot, but I don't chase into a trial that starts tomorrow. Wait for the dip.

POSITION SIZE: 3-4% of portfolio — this is a core Big Tech holding, not a swing trade. Don't oversize into legal uncertainty.

ENTRY POINTS: I'd add aggressively in the \$550-570 zone if the trial creates headline panic. Full position below \$540.

TIME HORIZON: 12-18 months — the catalyst you're waiting for is trial resolution + Q3/Q4 earnings proving ad growth is durable.

WHEN TO BAIL: Punitive damages verdict, ad revenue growth dropping below 10%, or if we learn the off-balance-sheet AI obligations are materially larger than disclosed.

HEDGING: Buy some cheap out-of-the-money puts covering the next 60 days through the trial — think of it as insurance premium on your position. Or pair with a Google long — if regulators go after all Big Tech, at least you're market-neutral on the sector risk.